

Daily Watchlist Builder

A step-by-step guide to building your trading watchlist every single morning.

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Your watchlist is your preparation. A focused, well-researched list of 3 to 5 names is infinitely more valuable than a massive list of 50 stocks you cannot properly track. The goal of your morning scanning process is not to find every opportunity — it is to find your best 3 to 5 and ignore everything else. Here is the exact process.

STEP 1

Run Your Pre-Market Scanner

Filter for stocks with significant pre-market volume — at least 2x their normal pre-market average. These are the stocks that something is happening to. Volume is the first signal. A stock moving pre-market with no volume is a low-conviction move driven by a small number of traders. A stock moving on 5x normal pre-market volume has real interest behind it.

STEP 2

Identify the Catalyst

Every high-conviction pre-market mover should have a clear reason behind the move. Earnings beat or miss, FDA approval or rejection, major contract announcement, analyst upgrade or downgrade with a significant price target change, or a sector-wide catalyst. Random gap ups with no news have poor follow-through. Catalyst-driven moves have urgency — traders are reacting to real information.

STEP 3

Evaluate the Technical Setup

Once you have a catalyst-driven mover, look at the chart. Is the stock at a key technical level? Breaking out of a multi-week base? Testing major support on a pullback? Gapping to an all-time high with clear blue sky above? The best trades in the market combine a real catalyst with a clean technical setup. Either alone is inferior. Together they create high-probability trades.

STEP 4

Evaluate Float and Short Interest

For momentum and gap plays, float and short interest matter significantly. Lower float stocks move more on the same volume — they are more volatile in both directions. High short interest combined with a bullish catalyst creates short squeeze potential, which can dramatically amplify the move. Check these before adding any name to your final watchlist.

STEP 5

Rank and Cut Ruthlessly

After your filtering process you may have 10 to 15 candidates. Your job now is to rank them by total conviction — catalyst quality plus technical setup quality plus float and short interest profile. Cut everything below your top 5. Then consider cutting further to your top 3. Ignore every stock not on your list once the market opens. More names equal more distraction, not more opportunity.

WATCHLIST SCORING SYSTEM — SCORE EACH CANDIDATE

Score 1 to 3 in each category. Total score of 9 to 12 = strong candidate. Under 6 = skip it.

CRITERIA	1 POINT	2 POINTS	3 POINTS
Catalyst quality	Vague or unconfirmed rumor	Real but minor news	Strong catalyst: earnings beat, FDA approval, major deal
Pre-market volume	1 to 2x average	2 to 5x average	5x or higher above average
Technical setup	No clear level or pattern	Some structure present	Clean level, pattern, or base breakout
Float profile	Large cap, low volatility	Mid cap with some volatility	Small cap with high short interest
Risk/reward	Stop too far, target too close	Reasonable setup	Stop tight, target clear, 3:1 or better

RED FLAGS — WHAT TO EXCLUDE FROM YOUR WATCHLIST

RED FLAG	WHY IT IS DANGEROUS	WHAT TO DO INSTEAD
Moving pre-market on no news	No thesis to defend when it reverses, hard to hold	Wait for a clear catalyst before adding to watchlist
Too many stocks in same sector	One sector move hits all of them — hidden correlation	Choose the single best name in the sector, ignore the rest
Cannot find a clear stop level	If you cannot define risk, you cannot size correctly	Skip it — no defined stop means no valid trade setup
Already up 20%+ pre-market	The move has happened — you are buying someone else's gain	Wait for a pullback setup or skip it entirely
Earnings today (unintentional)	Binary event — stock can gap either direction 15% or more	Only trade earnings setups if that is your specific strategy

TST CORE PRINCIPLE

The hardest discipline in trading is saying no to setups that almost meet your criteria. A 7 out of 12 on your scoring system is not a trade — it is a distraction from your real opportunities. The traders who are most selective about what goes on their watchlist consistently outperform the ones who chase everything that moves.

Full scanning methodology and screener settings covered in the TST Academy at topstocktrading.com